

Credit Score Fairness

Building Financial Equity in the Community

Why good credit scores matter?

A good credit score makes it easier and cheaper to apply for loans or buy a house/car.



A lower credit score may result in a higher interest rate causing you to pay more for the same amount of money. This traps people in a cycle of debt.

Who faces barriers?

- **Low-Income Households:** They often lack credit building resources and a history of credit
- **Minorities:** Black and Hispanic consumers were more likely to be denied credit compared to white individuals [1]
- **Young Adults:** Gen Z has been facing lower score due to student debt and pandemic related issues [2]

How does this affect Blacksburg?

Blacksburg is a college town with many young individuals, a diverse population, and a high poverty rate. The factors make Blacksburg resident more vulnerable to credit barriers.

Median Age

Poverty Rate

21.9

Diversity Rating

42.8%

83/100

What can be done?

Financial Education programs



Different financial metric models



Lower score thresholds for effected group



[1] Austin, S. (2024, January 17). *How traditional credit scoring can be a barrier for many consumers*. TEN Magazine. Federal Reserve Bank of Kansas City. Retrieved October 26, 2025, from https://www.kansascityfed.org/ten/how-traditional-credit-scoring-can-be-a-barrier-for-many-consumers/?utm_source=chatgpt.com

[2] Altus, K. (2025, September 24). *Gen Z faces harsh financial reality as credit scores plunge to dangerous record lows across America*. Fox Business. <https://www.foxbusiness.com/media/gen-z-faces-harsh-financial-reality-credit-scores-plunge-dangerous-record-lows-across-america>

[3] Data USA. (2025). Blacksburg, VA. Deloitte, Datawheel, and U.S. Department of Commerce. Retrieved October 26, 2025, from <https://datausa.io/profile/geo/blacksburg-va?sexAgeRacePoverty=raceOption>

[4] BestNeighborhood.org. (n.d.). Race, diversity, and ethnicity in Blacksburg, VA. <https://bestneighborhood.org/race-in-blacksburg-va/>